

pricked and left them with ash in their mouth. This led Soros to proclaim “*Maybe I don’t understand the market. Maybe the music has stopped but people are still dancing.*”

We often try to undercut the long research process by buying stocks of companies prescribed in news outlets. Getting tricked is one thing; but being tricked by a game as old as the internet is stupidity. The book ‘*Flash Boys*’ in 2014 shows how the world has moved onto High Frequency Trading and the like. In 2017, *hedge funds* like Citadel are recruiting ultra high-IQ scientists and data miners from college to gain the slightest edge from the market. But if you’re still looking at recommendations and free stock-picks by analysts, this deserves a special moment of silence.

“Those who know don't tell and those who tell don't know.”

- Michael Lewis, *Liar’s Poker*

Stock markets are hard to explain. The prices of a company’s stock depend on a human’s ability to project the future earnings. It is quite an impossible task to project earnings, judge competition and value if the price is currently cheap. Add to it that an investor also must judge the madness of the public. Even if you’re right on earnings projections, bought it cheap and saw that it has no competition, the public has to realize it soon enough so that the stock prices improve. To get a decent R (rate of return), we must research, predict their future, pass judgements on their management team, pray to god we were right and wait patiently. And then proceed to do it consistently day-in, day-out for years.

Imagine doing that for 4-5 companies while constantly monitoring its performance every quarter. Most of us have better things to do like eating a Maharaja Mac in 3 bites. For the likes of us, we have vehicles called mutual funds. Here, a portfolio manager takes money from small investors like us, pools it into a bigger corpus and uses it to buy a basket of securities. The securities maybe stocks, bonds or gold depending on what they decide and elicit the same in their prospectus. Before dipping our toes into the best Mutual fund to consider, let’s dive headfirst into the world of Real Estate.